

MEMORANDUM

TO: General Counsel

FROM: M&A Practice Group

DATE: December 30, 2024

RE: Interim Operating Covenants Under Merger Agreement

Dear General Counsel,

This memorandum outlines your company's key obligations during the period between signing and closing of the merger agreement. These covenants are designed to preserve the business value for the buyer and maintain operational stability during the interim period.

OPERATIONAL COVENANTS

Affirmative Obligations (What You Must Do)

1. Business Operations

- Maintain the company in good standing under applicable laws
- Conduct business in the ordinary course, with exceptions for an ongoing real estate sale measures
- Use reasonable best efforts to preserve material assets, contracts, and business relationships
- Maintain current insurance levels
- Keep current officers and key employees available

2. Stakeholder Relations

- Preserve relationships with customers, suppliers, partners, platform providers, manufacturers, distributors, lessors, licensors, licensees, creditors, and contractors

- Maintain goodwill with all key business relationships

Restrictive Covenants (What You Cannot Do)

1. Corporate Structure and Governance

- No amendments to charter, bylaws, or organizational documents (except minor administrative changes for wholly-owned subsidiaries)
- No liquidation, dissolution, merger, consolidation, restructuring, or reorganization
- No entry into new business segments unrelated to existing operations

2. Securities and Capital Structure

- No issuance, sale, or delivery of company securities (subject to limited exceptions)
- No stock splits, combinations, or reclassifications
- No declaration of dividends or distributions (subject to specific exceptions)
- No pledging or encumbering of capital stock

3. Financial Matters

- No incurrence of new indebtedness (subject to exceptions)
- No assumption of third-party obligations (except for wholly-owned subsidiaries)
- No creation of liens (other than permitted liens)
- No material changes to accounting practices (unless required by law or GAAP)

4. Employee Matters

- No termination or hiring of any employees or above without buyer consultation
- No adoption or modification of employee benefit plans (subject to exceptions)
- No compensation increases or special bonuses

- No new severance arrangements
- No plant closings or mass layoffs
- No voluntary recognition of labor unions

5. Tax Matters

- No amendment of material tax returns
- No material tax elections or changes in accounting methods
- No settlements of material tax claims
- No extension of limitation periods for material tax claims

6. Commercial Operations

- No capital expenditures outside approved budget
- No material modifications to significant contracts
- No material customer refunds or credits outside ordinary course
- No disposal of material business lines
- No material changes to privacy policies or IT security

Key Monetary Thresholds

- Acquisitions limited to \$25,000,000 per transaction or \$150,000,000 aggregate
- Other specific thresholds as detailed in the disclosure schedules

Process for Exceptions

1. Any proposed actions that may violate these covenants should be promptly brought to our attention
2. We can help assess whether the action falls within any exceptions or requires buyer consent
3. When in doubt, consult with us before proceeding

CRITICAL DEAL-RELATED OBLIGATIONS

1. Public Communications

- Coordinate all deal-related communications with the Acquiror
- Any press releases, employee communications, or public statements about the transaction must be reviewed and approved by the Acquiror in advance
- Exercise particular caution in social media communications that could relate to the transaction

2. Alternative Transaction Proposals

- Exercise extreme caution regarding any incoming inquiries about alternative transactions
- Promptly notify the Acquiror of any alternative transaction proposals received
- Do not encourage or solicit alternative proposals, other than during the go-shop period (March 1-31, 2025)
- Maintain careful records of any interactions with third parties regarding potential transactions
- Consult with counsel immediately upon receiving any alternative proposal

Please note that this summary is not exhaustive, and specific exceptions exist for many of these restrictions. We recommend consulting with us before taking any significant actions that could implicate these covenants.

Best regards,

[lawyer]~~COMMERCIAL LEASE AGREEMENT~~

~~This Commercial Lease Agreement (the "Lease") is made and entered into as of February 1, 2025, by and between:~~

~~Greenfield Properties Inc., a corporation organized under the laws of the State of California, with its principal office at 789 Market Street, San Francisco, CA 94103 ("Landlord")~~

and

NovaTech Solutions, a corporation organized under the laws of the State of California, with its principal office at 321 Startup Lane, Palo Alto, CA 94301 ("Tenant").

1. Premises

Landlord hereby leases to Tenant the premises located at 500 Commerce Drive, Suite 200, San Francisco, CA 94107, consisting of approximately 3,500 square feet of office space (the "Premises").

2. Term

The lease term shall be 36 months commencing March 1, 2025 and expiring on February 28, 2028 (the "Term").

3. Rent

Tenant shall pay Landlord a base rent of \$8,500 per month, payable on the first day of each calendar month. Rent shall be subject to an annual escalation of 3% as detailed in Schedule A below.

4. Security Deposit

Upon execution of this Lease, Tenant shall deposit with Landlord a security deposit of \$25,500, equivalent to three months' rent. The security deposit shall be returned to Tenant within 30 days of lease termination, less any deductions for damages or unpaid rent.

5. Use of Premises

The Premises shall be used for general office purposes only. Tenant shall not use the Premises for any unlawful purpose or in any manner that would increase the insurance premiums or void the insurance coverage on the building.

6. Assignment and Subletting

Tenant shall not assign or sublet the whole or any part of the leased premises without prior written consent of the Landlord. Any attempted assignment or subletting without such consent shall be void and shall constitute a default under this Lease.

7. Maintenance and Repairs

Tenant shall maintain the Premises in good condition and repair during the Term. Landlord shall be responsible for structural repairs, roof maintenance, and common area maintenance. Tenant shall be responsible for all interior maintenance, including plumbing, electrical, and HVAC systems within the Premises.

8. Insurance Requirements

Tenant shall maintain commercial general liability insurance with a minimum coverage of \$1,000,000 per occurrence and \$2,000,000 aggregate. Tenant shall name Landlord as an additional insured on all policies and provide certificates of insurance prior to occupancy.

9. Default and Remedies

If Tenant fails to pay rent within 10 days of the due date or breaches any other term of this Lease and fails to cure within 30 days of written notice, Landlord may terminate this Lease and pursue all available legal remedies, including recovery of unpaid rent and damages.

10. Renewal Option

Tenant may renew this Lease for an additional 24 months by providing 90 days' written notice prior to the expiration of the current Term. The renewal rent shall be subject to fair market adjustment but shall not exceed 5% above the then-current monthly rent.

Schedule A – Rent Escalation

Year	Monthly Rent	Annual Total
Year 1	\$8,500	\$102,000
Year 2	\$8,755	\$105,060
Year 3	\$9,018	\$108,216

IN WITNESS WHEREOF, the parties have executed this Lease Agreement as of the date first written above.

Landlord: Greenfield Properties Inc.

Tenant: NovaTech Solutions